Bulls Eye

Tata Consultancy Services (TCS) in plain words

Your question: *Analyze TCS fundamentals* | Share price used: INR 2,075 (3 Oct 2026) | Sample layout, data copied from the earlier test report

Our answer	Confidence	Best for
HOLD (if you already own it)	**Medium**	**Someone who can wait 3-5 years**

In one sentence: TCS is a very profitable company with almost no debt, but its share price has fallen about 25% in a year because investors worry about weaker IT spending, AI changing how IT work is billed, and a dispute inside the Tata group. So the research does not clearly support buying a lot more, and it does not support selling in a panic either.

The 5 numbers that matter most

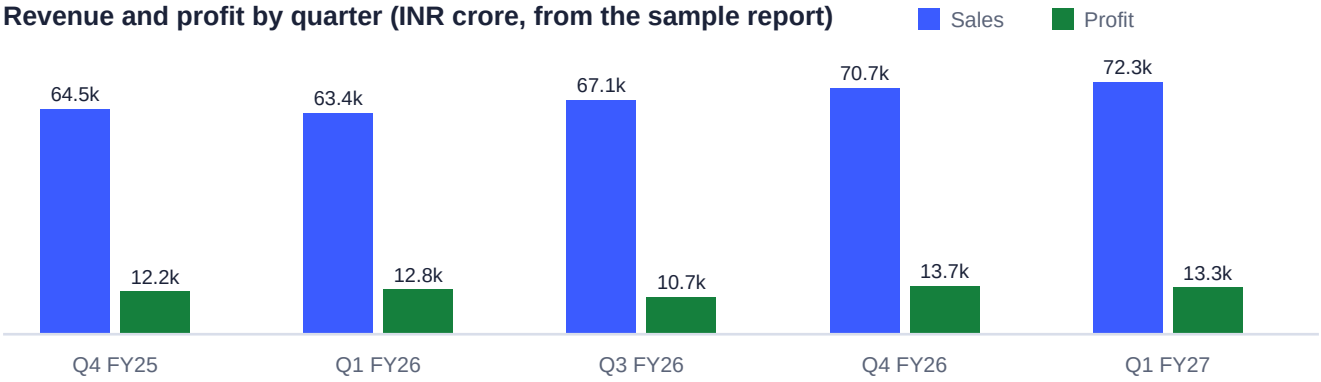
What	TCS	What it means	Verdict
Operating margin	**24.0%**	Out of every Rs 100 of sales, Rs 24 is left after running costs. A typical IT firm keeps about Rs 18.*	GOOD
Return on equity (ROE)	**47.7%**	For every Rs 100 shareholders put in, TCS earns about Rs 48 a year. Above 20% is strong.	GOOD
Debt / equity	**0.10x**	Very little borrowing. A bad year is unlikely to put TCS in money trouble.	GOOD
P/E (price to earnings)	**15.1x**	You pay about Rs 15 for every Rs 1 of yearly profit. This is lower than TCS has often traded at, but cheap prices can also mean the market expects slower growth.	WATCH
Share price, 1 year	**-25.5%**	Price is near the bottom of its 1-year range (INR 1,972 to 3,204). Falling prices can keep falling or recover; this number does not predict which.	BAD

* Sector comparison values (25% ROE, 18% margin) were shown in the test report without a stated source. Treat them as rough, until the system computes them from real peers.

Is the business healthy?

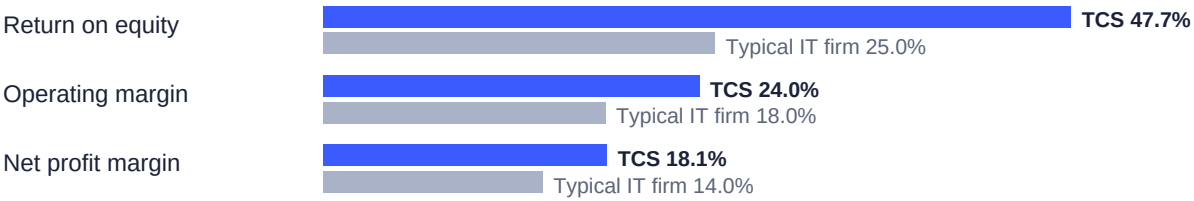
Yes. In the latest quarter (April-June 2026) TCS sold INR 72,275 crore worth of services and earned INR 13,349 crore profit. Sales grew about 13.9% compared with the same quarter last year (72,275 vs 63,437 crore). Profit grew about 4.6% (13,349 vs 12,760 crore), so sales are growing faster than profit.

Revenue and profit by quarter (INR crore, from the sample report)



Quarter-wise numbers are taken from the earlier report. The Q2 FY26 quarter was not in that report so it is skipped here. Note: the earlier report printed 12.1% sales growth, but its own table gives 13.9%. This sample uses the table figure; the app should recompute it with code and show the inputs.

How TCS compares (rough sector values, unsourced in test report)



Why people are cautious (the Bear case)

- **Governance worry:** a dispute inside Tata Sons (the group that controls TCS) has hurt the share price.
- **Weak IT spending:** big clients in the US and Europe are careful about new projects.
- **AI effect:** AI can do some work faster, so clients may pay less for hours worked, which could squeeze future sales and margins.
- **Analyst downgrade:** one source cut its rating to Sell, citing valuation and performance. (Another listed Hold.)
- **Price is above book value:** P/B of 6.85x is high, but normal for service firms that own few physical assets.

Why others stay positive (the Bull case)

- **Deals keep coming:** TCS reported about $9.5 billion of new deals signed in Q1 FY27. (Signed deals turn into sales only over time.)
- **Strong balance sheet:** almost no debt and a regular dividend (yield about 3.1%).
- **AI work:** TCS is winning AI-related projects and reportedly buying an AI hub in India.
- **Lower price than before:** at 15x profit, expectations are lower than they used to be.

What would the share be worth at different 'mood' levels?

This is not a forecast. It simply answers: *if yearly profit per share stays the same (INR 137.64), what would the price be if investors were more gloomy or more excited?*

Investor mood	P/E used	Price
Gloomy	12.4x	**INR 1,707**
Today	15.1x	**INR 2,075**
More positive	17.3x	**INR 2,381**
Very positive (past high)	19.6x	**INR 2,698**

Prices are profit per share x P/E (small rounding differences from the earlier report).

So should I buy, hold or sell?

Situation	Simple guidance
I already own TCS and can wait 3-5 years	**Hold** is reasonable.
TCS is a very big part of my money, or I need cash within 1-2 years	**Consider reducing** some, rather than selling everything.
I want to buy a large amount now	**Go slowly.** Waiting for sales growth to improve is a safer plan than putting everything in at once.
Sales stop growing for several quarters, margins fall below about 22%, or debt rises	**Re-think.** The reasons for holding would be weaker.

What to check every 3 months

- Is sales growth staying above about 4% in constant currency (or better)?
- Is operating margin staying in the 24-26% range?
- Are signed deals turning into actual sales?
- Is the Tata Sons dispute getting resolved or worse?

What we could not confirm (honest gaps)

- Cash-flow quality (how much profit becomes real cash) was not fetched, so we make no claim on it.
- News was read from headlines only, not full articles, so treat news points as 'reported', not 'proven'.
- Peer and sector comparison numbers are rough. The earlier test report did not show a source.
- Different sources disagreed on P/E (15.08x vs 14.79x) and dividend yield (3.13% vs 5.4%). We use 15.08x and 3.13% from the price and company data pulled directly; the app should show this conflict clearly.

> **Important:** This is a research summary for learning, not personal financial advice. We do not know your purchase price, tax situation or when you need the money. Past prices do not predict future prices.